

The Law of Sale of Goods

Special Contract II

What is Contract of Sales?

ART. 2266. - DEFINITION.

A CONTRACT OF SALE **IS A CONTRACT** WHEREBY ONE OF THE PARTIES, **THE SELLER**, UNDERTAKES TO DELIVER **A THING** AND **TRANSFER ITS OWNERSHIP** TO **ANOTHER PARTY, THE BUYER**, IN CONSIDERATION OF A PRICE EXPRESSED **IN MONEY** WHICH THE **BUYER** UNDERTAKES TO PAY HIM.

ART. 2267. - APPLICATION OF THIS CHAPTER. - 1. CORPOREAL CHATTELS.

(1) THE PROVISIONS OF THIS CHAPTER SHALL APPLY TO THE SALE OF **CORPOREAL CHATTELS**.

Elements of Contract of Sale From the above two provisions of the civil code, the following key elements may be illustrated :

(1) **Sale is a Contract** : - there is no other source of sale but contract. Except for sales transaction done with administrative organs of the government, consent of the parties is sufficient to validly establish contract of sale. If sale is contract, then all essential conditions of formation of contract (i.e capacity, consent, object and form if it so provided by laws or determined by the parties) must present.

(2) **Parties to Contract of Sale** : **Seller** is the person (juridical or physical) who sale or agrees to sale the thing. The Buyer is the person (juridical or physical) who buy or agrees to buy the thing

(3) **Application of the Provision** : - the application of the present law deals with corporeal chattels (corporeal movables).

Art. 2270. - Subject of sale.

(1) A sale may relate to an **existing thing** belonging to the seller.

(2) A sale may also relate to a **future thing** which the seller undertakes to make for delivery to the buyer.

(3) It may also relate to a thing **belonging to a third party**.

Existing and Future (Anticipated) Goods Existing goods are goods, which are under seller's ownership or in possession and in physical existence and possible to transfer at the time of contract of sale. Existing goods can also be classified into **specific** and **unascertained** goods. **Specific or certain** goods are goods identified and agreed upon at the time of conclusion of the contract. In contrast, **unascertained goods** are goods which are not separately identified or ascertained when the contract of sale is concluded. Although they are not separately identified unascertained goods shows goods defined by description. **Future goods** are goods which do not exist at the time of the contract sale or are not in the hands of the seller although they do have material existence. Goods to be produced manufactured or acquired by the seller after the formation of the sale contract are termed as "future goods". This goods includes goods at third parties.

Examples : -

Ex.1 Mr. S sale his mobile phone to B with an amount of **5000 ETB**. Thus, the mobile was certain (defined) existed and possible to be transferred at the time of contract.

Ex.2 Mr. B went to one of LG tv sales store and purchase 42' Inch screen LED television. Yet, the serial number and the specific type of the tv set was not identified by the parties. Here, although the tv set existed at the time when the parties agreed to purchase and sales they do not separate the particular tv set among the same types and make ready for transfer of ownership.

4) Obligations (undertakings of the parties to contract of sales) : - since sales is contractual transaction, it covers the undertaking of contracting parties (i.e buyer & seller)

a) Obligations of the Seller : - The primary obligation of the seller is transfer of ownership to the goods. In order to transfer his ownership the seller him self should be in legitimate ownership of the particular good under the sales transaction.

How do we transfer ownership of goods ? : - The subject matter of sale contract is corporeal chattel (**movables**). Hence, the mode of transferring ownership for **corporeal chattel** is **delivery**. **Delivery** is the voluntary process of handing over goods from one hand to another. Ex. 1 Mr. B agreed to purchase 1000 tones of cement from Muger Cement Factory to be delivered **after six months**. Here the cements are not present and yet to be manufactured. Ex. 2. Mr S agreed to supply steel bar for Mr. B. however those steel bars are in Turkey to be imported. Thus although the goods existed at the time of contract, they are at ownership of third parties.

Modes of Delivery

1. Actual delivery : - This mode of delivery refers to physical handing over of goods from the seller to the buyer. Ex. Mr. B purchase 100 bar of soap from S, then S handover soaps packed through carton. Here goods are actually transferred from S to B.

2. Symbolic delivery : As opposed to actual delivery, symbolic delivery refers to mode of delivery where goods are not delivered to the buyer except for something that represent the goods. Ex. Warehouse receipt

3. Constructive delivery : - if 3rd party possess or keeps the goods acknowledging that the goods are hold for account of the buyer. Ex. If Mr. S rent his generator to TP after one month S sold this generator to B. then since the rent for generator was for six months TP acknowledge that he will keep the item to B.

4. Delivery with Short Hand (*Traditio longa manu*) : here the buyer already takes the possession of goods before contract of sale. Ex. If Mr. S rent his generator to B after one month he decided to sell the same to B. Then since B has already took possession, it is called delivery at short hand.

5. Constructive bravi manu : This is when the seller takes the possession after having sold the goods to the buyer. Ex. If Mr. S sales his generator to Mr. B and rent the same generator from B. then he acknowledge that he will keep the item for account of B.

6. Delivery to whar finger or currier : - Here the delivery is not made to the buyer but it is made to the buyer through currier. EX DHL or EMX .

Consequences of Delivery

- 1) The Transfer of Ownership : - the immediate consequence of delivery is the transfer of ownership. EX. S sells his laptop computer to B. as soon as taking the delivery S no longer be the owner and new owner will be B.
- 2) Risk Transfer : - Following transfer of ownership the risk over the goods transferred shall be on the buyer. Ex. S sells his laptop computer to B. as soon as taking the delivery and become the new owner of the laptop any take all the risk associated with the good delivered.
- 3) Legal entitlement : Following the transfer of ownership through delivery, the buyer can exercise every legal entitlement. S sells his laptop computer to B. as soon as taking the delivery S no longer be the owner and new owner will be B legally entitled to resell it or lease it or what ever things he pleases to do.